IN THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH, ALLAHABAD

CA (CAA) NO. 16/ALD/2021

(Under Section 230(1) read with Section 232(1) of the Companies Act, 2013)

In the matter of Companies Act, 2013
And
In the matter of Section 230(1) read with Section 232(1) and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016
AND

In the Matter Of Scheme of Arrangement Between

M/s Prachi Leathers Private Limited, a company incorporated under the Companies Act, 1956 and having registered office at: C-3 Udyog Nagar Kanpur- 208022, Uttar Pradesh, within the aforesaid Jurisdiction having CIN: U18101UP1995PTC018155

.....APPLICANT NO.1/TRANSFEROR COMPANY.

And

M/s RMA Investments Private Limited, a company incorporated under the Companies Act,2013 and having registered office at: 7/120 Swaroop Nagar, Kanpur- 208002, Uttar Pradesh, within the aforesaid Jurisdiction having CIN: U67100UP2019PTC122438)

.....APPLICANT NO.2/TRANSFEREE COMPANY.

ORDER DELIVERED ON : 27.08.2021

CORAM:

Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicants : Mr. Aman Kumar Dwivedi, Adv

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. The Present Application is being made jointly by **M/s Prachi Leather Private Limited** *(herein after referred to as PLPL or the Applicant No.1/Transferor Company)* and **M/s RMA Investments Private Limited** *(hereinafter referred to as RMAIPL or Applicant No.2/Transferee Company)* under Section 230-232 of the Companies Act, 2013 read with Relevant Rules of The Companies (Compromises, Arrangements and Amalgamation) Rules 2016, praying for relevant reliefs. The Shareholders & Creditors have provided for a ***"Scheme of Demerger"*** in terms of which the ***"Investment Business"*** of the Applicant No.1/ Transferor Company shall stand demerged from it and vested in the Applicant



No.2/Ttransferee Company. A (***Copy of Scheme of Arrangement is enclosed herewith and marked as Annexure No.1).***

2. It is stated that Applicant No.1/ Transferor Company is a Private Limited Company incorporated on 01.06.1995 under the provision of Companies Act 1956. The Authorized share capital of the Applicant No.1/ Transferor Company is Rs.8,00,00,000 (Rupees Eight Crores) divided into 80,00,000(Eighty Lakh) Equity shares of Rs 10(Rupees Ten) each out of which 71,54,300(Seventy One Lakh Fifty Four Thousand Three Hundred) shares have been issued and have been fully subscribed and paid up as on 31.03.2020. *(A copy of Audited Financial Statement of the Applicant No.1/Transferor Company reflecting the share capital and shareholding up-to 31.03.2020 is Annexed as* ***Annexure No.4).***

The Main Objects of the Transferor Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure 3 and are placed at page nos. 44-70.***

3. Further stated that the Applicant No.2/Transferee Company is Private Limited Company incorporated on 17.10.2019 under the provision of the Companies Act 2013.The Authorized share capital of the Applicant No.2/Transferee Company is Rs.1,00,00,000(Rupees One Crores) divided into 10,00,000(Ten Lakh) Equity shares of Rs 10 (Rupees Ten) each out of which 10,000(Ten Thousand) shares have been issued and have been fully subscribed and paid up.

The Main Objects of the Transferor Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure 6 and are placed at page nos. 111-127.***

4. The counsel for the Applicant Companies submitted that Demerger is pursuant to Section 230/232 and the other Applicable provision of the Companies Act 2013 and rules made thereunder, as may be applicable, the Scheme would, inter-alia, have the following benefits:

(a) Enable focused management orientation to each of the business undertakings due to individual specialization and leadership vision, which would provide greater visibility on the performance of the respective businesses.



(b) The Management and Board of Directors of Applicant Companies would be able to chart-out independent strategies of their respective businesses to maximize value creation for the respective stakeholders.

(c) Opportunities for strategic partnership and flexibility for fund raising capability for future growth and expansion and to create a structure geared to take advantage of growth opportunities.

5. It is further submitted that the Scheme is not opposed to public policy and does not have any adverse effect on either the shareholders or employees or creditors of any of the Applicant Companies. The Scheme of Arrangement does not involve any compromise with the Creditors of any of the Applicant Companies and as such doesnot effect in any manner adversely affect the interests of any of the creditors (secured or unsecured).

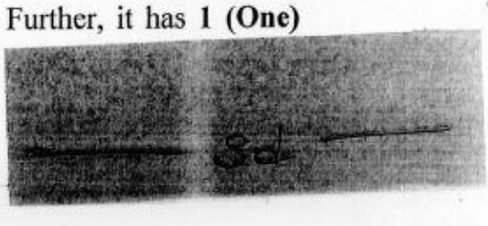
6. The Scheme of Arrangement is not intented, in any manner, to have any beneficial effect on the material interest, if any, of the Directors of any of the Applicant Companies, except to the extent of their shareholdings, if any.

7. It is also stated that the Applicant Companies have dully complied with Accounting Standards. Further, the Auditors of the Applicant Companies have not disclosed any mismanagement in its affairs. ***(A Copy of Certificate from the Auditor of the Applicant Companies, regarding the Accounting Treatment under the Scheme is Annexed as Annexure No 11 & 12).***

8. It is further submitted that that Applicant Companies have obtained share entitlement report from Subodh Kumar , IBBI, Registered Valuer & M/s KMG & CO, Chartered Accountants, Kanpur, specifying the consideration for the Scheme of Arrangement .(A Copy of Valuation Report giving the Share Entitlement Ratio is Annexed as **AnnexureNo.10** of the Application). As per the said report upon the Scheme becoming effective and in consideration for the proposed scheme, the Applicant No.2/Transferee Company will issue and allot shares at par, to each shareholder of the Applicant No.1/Transferor Company on the record date as may be fixed by the Board of Directors of the Applicant Companies in the following manner:

"Exchange Ratio of each Equity Shares of RMAIPL for PLPL: 10:1 i.e 1 (One) Equity Share of face value of Rs.10 each, credited as fully paidup, of RMAIPL shall be issued in exchange for every 10 (Ten) Equity shares of face value of Rs.10 each held by the shareholders of PLPL"

9. The Counsel for the Applicant Companies further submitted that Applicant No.1/Transferor Company has **2 (*Two*)** Equity Shareholder. Further, it has **1 (One)**



Secured Creditor and has **245** ***(Two Hundred Forty five)*** Unsecured Creditors. *(The CA Certificate certifying list/Number of Shareholder, secured and unsecured creditors in Applicant No.1/Transferor Company is annexed as* ***Annexure No 13,15 & 17*** *of the Application).*

10. The counsel for the Applicant Companies submitted that the 100% shareholder of the Applicant No.1/Transferor Company has given consent to the proposed scheme and their respective affidavits collectively enclosed as **Annexure.No-14** of the Application.

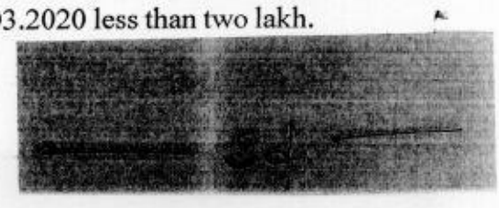
11. Further stated that only Secured Creditor i.e State Bank of India of the Applicant No.1/Transferor Company has also given "no objection" to proposed Scheme of Arrangement. *(A Copy of letter/consent of Authorized Representation of Secured Creditor is enclosed as* ***Annexure No.16).***

12. That, with regard to Applicant No.2/ Transferee Company is concerned, counsel for the Applicant Companies stated that Applicant No.2/Transferee Company has **2** ***(two)*** Equity Shareholder. Further, it has ***nil*** Secured Creditor and has only ***1 (one)*** Unsecured Creditors. *(The CA Certificate certifying list/Number of Shareholder, secured and unsecured creditors of the Applicant No.2/Transferee Company is annexed as* ***Annexure No 18, 20 & 21*** *of the Application).*

13. The counsel for the Applicant Companies submitted that the 100% shareholder of the Applicant No.2/Transferee Company has given consent to the proposed scheme and their respective affidavits collectively enclosed as **Annexure.No-19** of the Application. Further, Applicant No.2/Transfree Company has **NIL** secured creditor and only **1** ***(one)*** Unsecued Creditor, the consent to the unsecured creditor for the proposed scheme and their respective affidavits collectively enclosed as **Annexure.No-22.**

14. That,in view of the above facts, it is prayed that this Hon'ble Tribunal may be pleased to dispense with the requirement of holding of the meeting of the equity shareholders and secured creditor of the Applicant No.1/ Transferor Company and meetings of Equity Shareholder, secured creditor and unsecured creditor of the Applicant No.2/ Transferee Company.

15. That, with regard to unsecured creditors of the Applicant No.1/Transferor Company the counsel submitted that this Tribunal may give directions to issue individual notices and to convene, hold and conduct the meeting of such of the unsecured creditors whose outstanding balance in the books of accounts as on 31.03.2020 is Rs 2 Lakh or more and dispense with the requirement of sending individual notices to those unsecured creditors whose outstanding balance in the books of accounts as on 31.03.2020 less than two lakh.



16. Heard, the Arguments of the Ld. Counsel for the Applicant Companies and perused the documents annexed in the Application.

17. In view of the facts stated above, the following orders are passed:-

a) Since all the Equity Shareholders of the Applicant No.1/ Transferor Company and Applicant No.2/ Transferee Company has given consent to the proposed scheme, the convening and holding of meeting of equity shareholders of the both Applicant Companies is dispensed with.

b) Since there is 1(One) Secured Creditor in the Applicant No.1/Transferor Company and has already given consent to the proposed scheme. Further, there is **NIL** Secured Creditor in Applicant No.2/Transferee Company, hence the convening of meeting of secured creditors of Applicant Companies is dispensed with.

c) Since, there is only **1 (ONE)** unsecured creditor in the Applicant No.2/Transferee Company and has already given consent in form of Affidavit to proposed scheme, hence the convening of meeting of un-secured creditors of Applicant No.2/ Transferee Company is dispensed with.

d) Further as prayed, this Tribunal directs that a meeting of unsecured creditors of the Applicant No.1/ Transferor Companies be convened and held at Rregistered Office at of Applicant No.1/Transferor Company: ***C-3 Udyog Nagar Kanpur- 208022, on 16th October 2021 at 12PM*** for the purpose of considering and if thought fit, approving, with or without modification(s), the proposed Scheme of Arrangement.

e) At least thirty (30) clear days before the said meeting of the unsecured creditors of the Applicant Company No.1/Transferor Company be held as aforesaid, together with the a copy of scheme , a copy of explanatory statement required to be sent under section 230 of the Companies Act 2013 and the prescribed form of proxy, shall be send by registered Post/Courier/ speed post or by Hand delivery to each of the unsecured creditors of the Applicant Company No.1/Transferor Company at their respective registered or last known addresses or through email to the registered email addresses of the unsecured creditors of the Applicant Company No.1/Transferor Company as per records of the Applicant Company No.1. it is clarified that notices be issued to only those unsecured creditors who owed Rs. 2 Lakh or more in the books of the Applicant No.1/ Transferor Company and prayer for doing away with issuing notices to those unsecured creditors who owed less than Rs. 2 Lakh is allowed.

f) At least thirty (30) clear days before the meeting of the unsecured creditors of the Applicant No.1/Transferor Company is held as aforesaid, the notice indicating the place, date and time of the aforesaid, the notice indicating place, date and time of the aforesaid meetings be published and advertised in two local newspaper viz " Business Standard" in English and " Rastriya Sahara /" in hindi having wide circulation in



District Kanpur in Form No. CAA2 of the Rules 2016, which shall also be placed on the website of the Applicant No.1/Transferor Company, if any.

g) ***Mr. Ranajit Shome , Advocate Mobile No.:9415310261, Email: shomeranajit@gmail.com*** is appointed as Chairman and with ***Mr. Ajit Ray , Advocate Mobile No.: 9415284910 Email: ajitrayadv@gmail.com*** as alternative chairman and ***Ms. Monica Nanda, Company Secretary in practice Mobile No. 9984254321, E-mail: strm.associates@gmail.com*** as scrutinizer. The chairman and alternative chairman shall be paid Rs.75,000 as honorarium while as scrutinizer will be paid Rs.50,000. Apart from above remuneration, the Applicant Company shall make necessary and proper arrangement for travel/transport, stay and other allied expenses.

h) The Chairman and Alternative Chairman hall be paid 75,000/- as honorarium and Scutnizer shall be paid Rs.50,000/-as honorarium. Apart from above remuneration, the Applicant Company No.1/Transferor Company shall make necessary and proper arrangement for travel/transport, stay and other allied expenses.

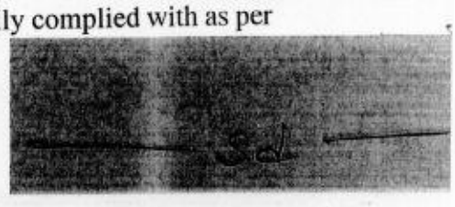
i) The Chairman appointed for the aforesaid meeting shall issue the notice of the meeting referred to above and shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules,2016 in relation to the conduct of the meeting, including for deciding procedural questions that may arise or at any adjournment thereof or any other matter including an amendment to the Scheme or resolution, if any, proposed at the meeting by any person(s).

j) The quorum for the aforesaid meetings of the unsecured creditors of the Applicant No.1/Transferor Company shall be as per section 103 of the Companies Act, 2013. In case quoram for the aforesaid meeting is not present, then the meeting shall be adjourned for half an hour and the person(s) present at the adjourned meeting shall be deemed to constitute the quoram.

k) The unsecured creditors who receive the notice may within one (1) month from date of receipt of notice vote in the meeting either in person or through proxy or through postal ballot for the adoption of the Scheme of Arrangement.

l) The voting by proxy or authorized representative in case of body corporate is permitted, provided that the proxy in the prescribed form /authorized duly signed by the person entitled to attend and vote at the meeting is filed with the Applicant No.1/ Transferor Company at its Registered Office at C-3 Udyog Nagar Kanpur- 208022, Uttar Pradesh, not later than 48 hours before the aforesaid meeting as required under Rule 6 of the Companies (Compromise, Arrangement and Amalgamation), Rules,2016.

m) The Chairman to file an affidavit not less than 7(seven) days before the date fixed for holding of the aforesaid meeting and do report this Tribunal that the directions regarding the issue of notices and advertisement have been dully complied with as per



Rule 12 of the Companies (Compromise, Arrangement and Amalgamation), Rules,2016.

n) The Chairman to report this Tribunal, the result of the aforesaid meeting within 30 (Thirty) days of the conclusion of the meeting, and the said report shall be verified by his affidavit as per Rule 14 of the Companies (Compromise, Arrangement and Amalgamation), Rules,2016.The report of the result of the meeting shall state accurately the numbers of creditors who were present and who voted at the meeting either in person or by proxy, their individual values and the way they voted.

o) The Applicant Companies are directed to serve the notices upon the (i) Concerned Income Tax Authority within whose jurisdiction the Applicant Companies assessments are made (ii) The Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, and (iii) Registrar of Companies with a direction that they may submit their representations, if any, within period of 30 (thirty) days from the date of receipt of such notice to the Tribunal with copy of such representation shall simultaneously be served upon the Applicant Companies, failing which, it shall be presumed that the authorities have no representation to make on the proposals.

p) The Applicant Companies to file an affidavit of service of directions in the Registry proving dispatch of notices, publication of notices in newspapers and to the regulatory authorities as stated in clause above and do report to this Tribunal that the directions regarding the issue of notice have been duly complied with.

q) In view of the above mentioned directions the Company Application bearing no 16/ALD/2021 is accordingly allowed and disposed off.



JUSTICE RAJESH DAYAL KHARE
MEMBER (J)

Date: 27.08.2021
Swati Gupta
(LRA)